S&P 500 Index Valuation Report

Dec 2025

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1. Introduction

1.1 Background

- S&P 500 (Standard & Poor's 500) is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.
- The S&P 500 was launched by Standard & Poor's (now S&P Global) on March 4, 1957, to track 500 large U.S. companies, reflecting stocks on NYSE and later the Nasdaq.
- The S&P 500 is divided into 11 distinct market sectors.

1.2 Key Statistics

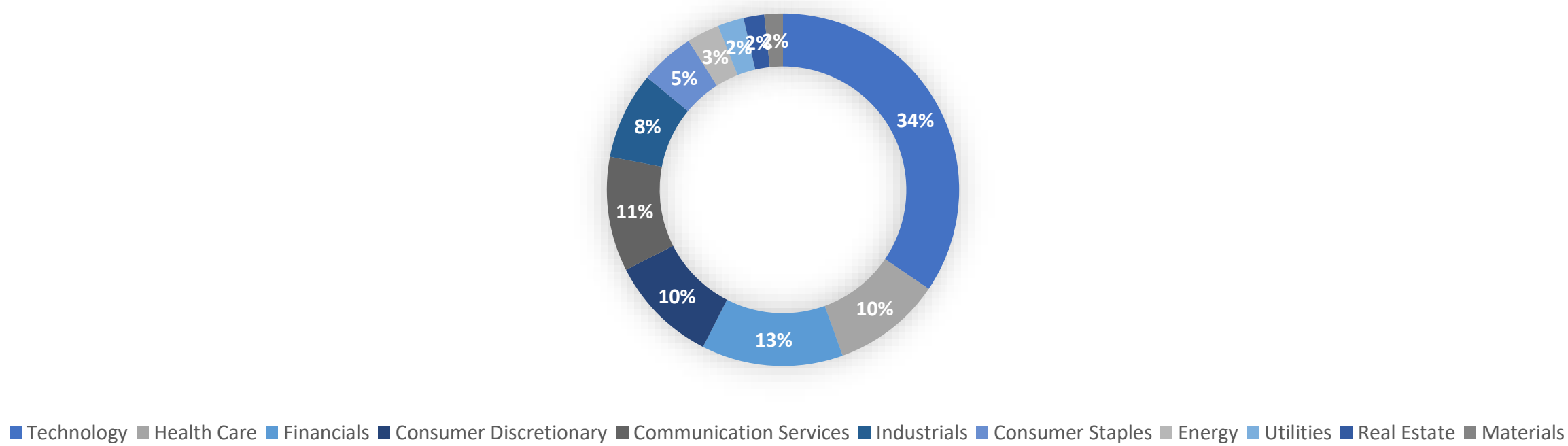
- It includes approximately 80% of the total market capitalization of U.S. public companies, with an aggregate market cap of more than $57.401 trillion.
- The ten largest companies on the list of S&P 500 companies account for approximately 38% of the market capitalization of the index and the 50 largest components account for 60% of the index.
- The Average historical CAGR provided by the Index in various periods are as follows:
- 15 Years CAGR- 11.18%
- 10 Years CAGR- 11.54%
- 7 Years CAGR- 11.45%
- 5 Years CAGR- 7.96%

1. Introduction

1.3 Components

- S&P 500 has stocks of 500 Companies.
- Few Notable Companies are: Nvidia, Microsoft, Apple, Alphabet, Amazon, Meta Platforms, Broadcom, Tesla, Berkshire Hathaway, and JPMorgan Chase.
- The Index comprises wide range of sectors such as Technology, Health Care, Financials, Consumer Discretionary, Communication Services, Industrials, Consumer Staples, Energy, Utilities, Real Estate, and Materials.

1.4 Sectors-wise contribution to S&P 500



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2. Context of the Valuation

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2.1 Context

- This valuation assesses the intrinsic value of the S&P 500 in light of evolving macroeconomic and market conditions during FY2025.
- Equity markets benefited from:
  - Strong earnings visibility in select sectors
  - Continued capital deployment toward AI and digital infrastructure
  - A gradual normalization of risk sentiment
- Index-level performance reflected high concentration, with a small group of mega-cap constituents accounting for a disproportionate share of returns.
- Valuation dispersion widened across sectors, with growth-oriented segments experiencing relative multiple expansion & Defensive, capital-intensive, and interest-rate-sensitive sectors showed subdued performance and limited index impact.
- Given elevated index levels and performance concentration, a valuation-based assessment was required to evaluate fundamental justification versus market optimism. The analysis aims to bridge market pricing with intrinsic value, rather than extrapolating recent performance trends.
- The Index Valuation date shall be "1st December 2025" and all the data used for the purpose of valuation is valid till the same date.

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3. Approach & Methodology

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3.1 Approach

- The Index has been valued considering the Dividends & Buybacks paid, Estimated Earning Growth, Equity Risk Premium, Beta & US's 10 Year Government Bond Yield which serves as an appropriate proxy for the Risk Free Rate.

- The valuation of the index is based on the methodology used by Prof. Aswath Damodaran (Dean of Valuation- NYU Stern) and his pronouncements on the Discounted Cash Flow approach.

- The Valuation approach used to value the S&P 500 Index is the **Discounted Cash Flow approach**. The key pillars being: a.) Free Cash Flow to Equity (FCFE) b.) Earnings Growth c.) Risk Free Rate and d.) Equity Risk Premium.

- The Report is prepared using assumptions. Thus, the interpretation of results shall be subjective and based on the users" requirements. The report provides a broader idea on whether the S&P 500 index is Overvalued, Undervalued or Fairly valued which are derived primarily from the cash flows (Dividends and Buy Backs) in the hands of investors/shareholders.

3. Approach & Methodology

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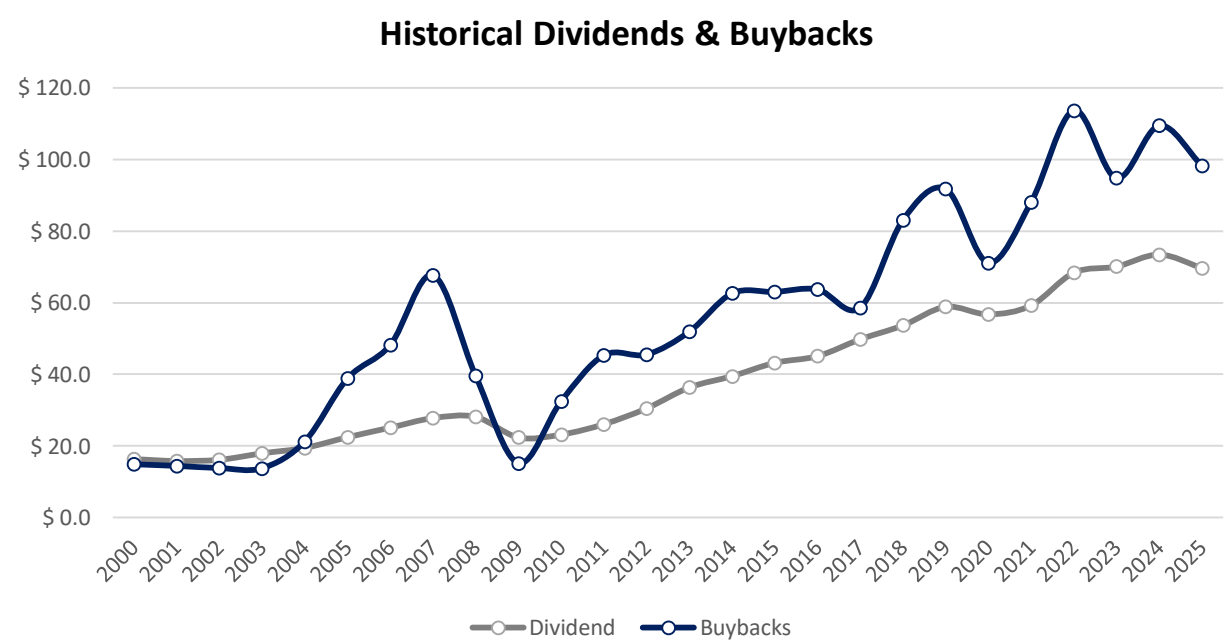
3.2 Free Cash Flow to Equity

- Cash flows being one of the key ingredients in DCF valuation implies the extent of the equity holders right on the cash flows. Cash flows implies Free Cash Flows to Equity holders i.e. FCFE.
- However, calculating Cash flows of all 500 Companies individually becomes a hefty task, hence an approach where Dividends & Buyback are considered are substituted for FCFE has been followed.
- The Rationale behind that is whatever the company earns is ultimately distributed to the shareholders in the long run either on liquidation or after the firm attains maturity in its business verticals either through Dividends or Buybacks.
- The Dividend & Buybacks Data have been sourced through Damodaran's Website.
- As USA is a mature economy, the frequency & quantum of Buybacks & Dividends are always high.

Years	Total Yield
20	4.73%
15	4.54%
10	4.14%
5	3.55%



3. Approach & Methodology

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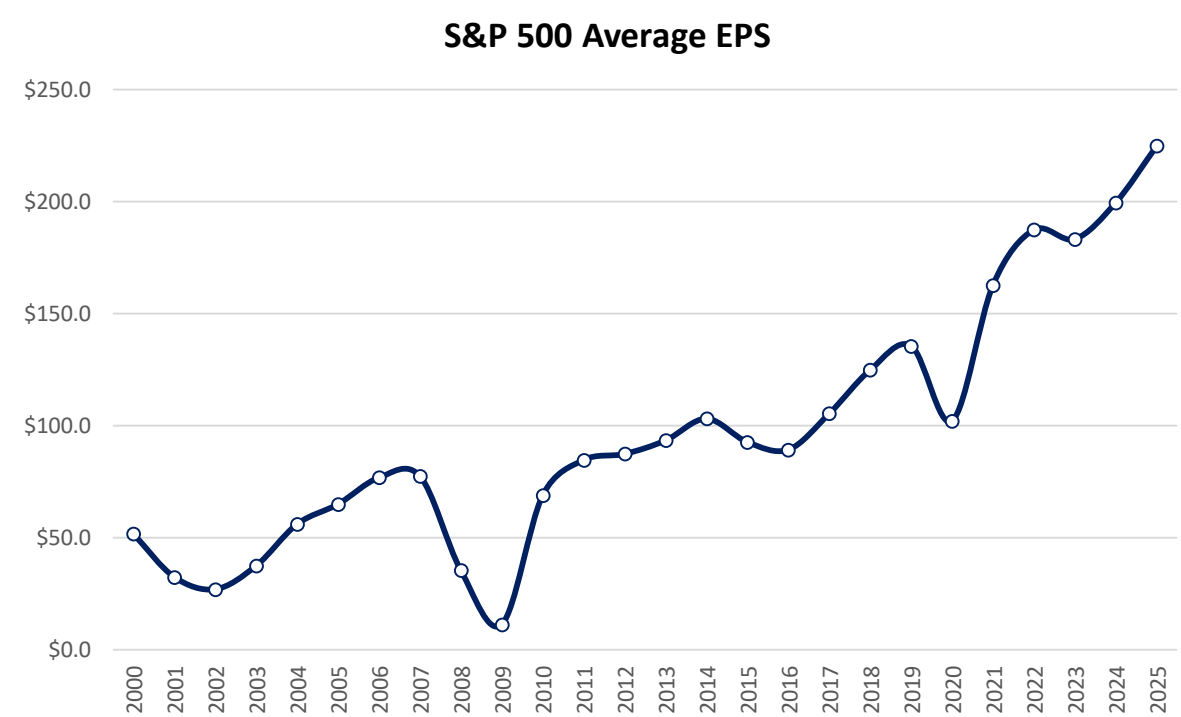
3.3 Earnings Growth & Beta

- Earnings of S&P 500 companies are function of Index EPS and Index's price.
- Earnings are computed using transposition in P/E Multiple with P= Price of the Index.
- EPS CAGR for 3Y, 5Y, 7Y and 10Y is calculated and further Averages of those has been considered for final growth figures.
- For computing future cash flows 'Average of EPS CAGR 10Y' has been considered over 3Y as it removes overly optimistic growth figures which leads to Hyper inflated valuations.
- Terminal Growth is taken as 1%because US is a mature market.
- Beta shall be considered as '1'.

Years	EPS Growth
10	8.32%
7	7.23%
5	8.76%
3	10.58%



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3.4 Equity Risk Premium

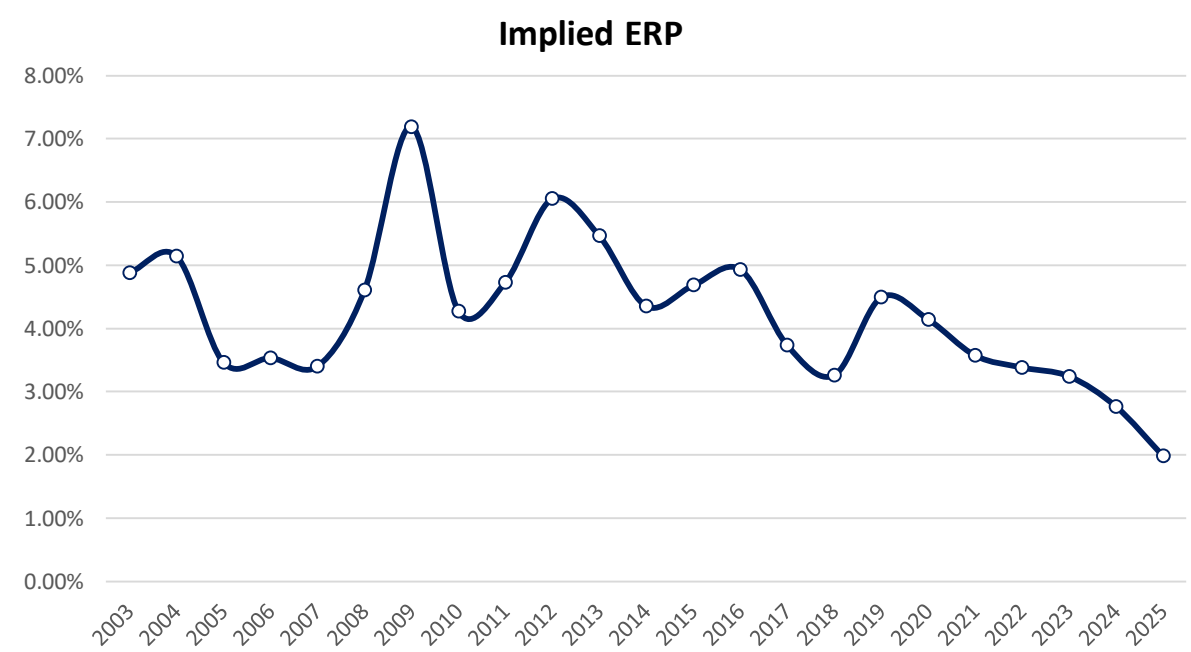
- Equity Risk Premium is the additional return over and above Risk-free rate expected by the marginal investors for investing in the Equity Markets which are usually deemed risky.

- When the ERP is high, it indicates a cautious market stance where the investors are in a defensive mode and expect higher than usual returns to invest in a market and when ERP is low vice versa.

- When the Market is bearish ERP rises as investors are in fear and when the market is bullish vice versa.

- For the purpose of our Valuation we have considered Latest ERP as valuation is always forward looking and latest ERP account for the latest developments in the market.

Years	ERP
15	4.05%
7	3.37%
5	2.99%
3	2.66%
Latest (Dec 2025)	1.98%



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3.5 Risk-Free Rate

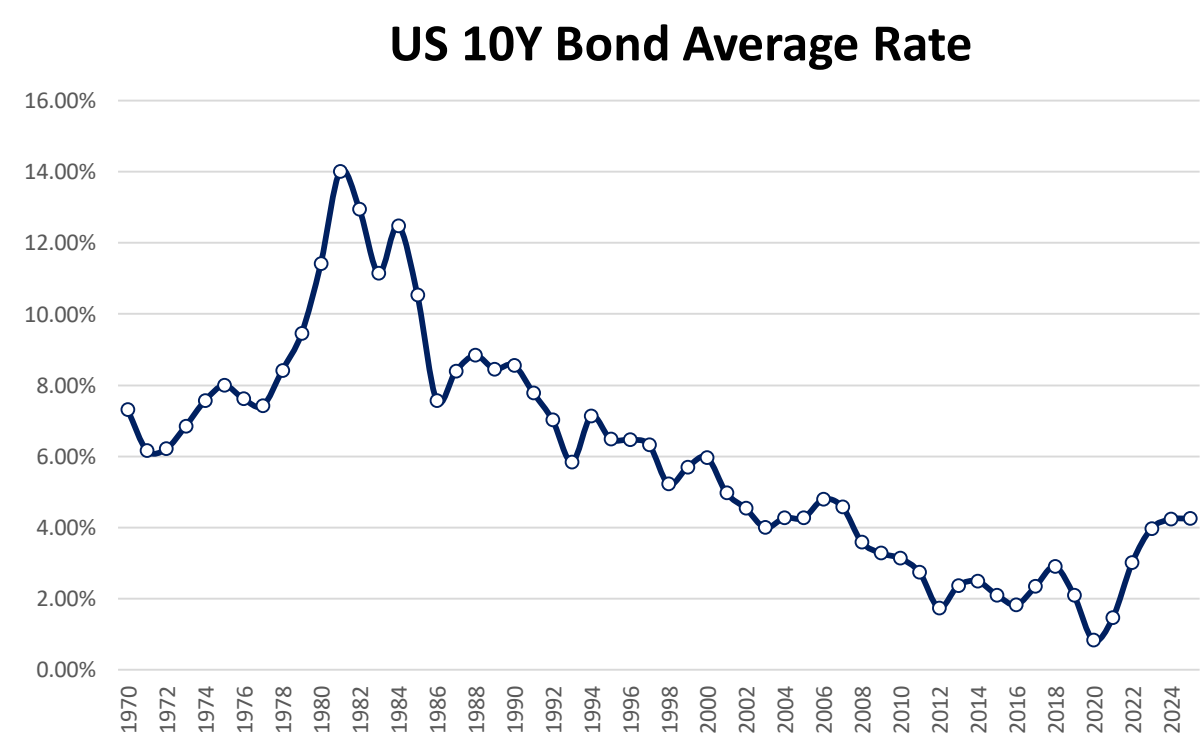
- Risk free rate implies the guaranteed minimum return that any Investor shall expect for Investing in a particular country.

- In valuation practice, we consider an economy's 10Y Government yield as a Risk - free rate. But, the most appropriate manner shall be to deduct a country's default spread to factor in sovereign default probabilities.

- We have not considered Default Spread as USA is considered to be default free. However, it is to be noted that USA Moody's rating has been dropped from Default free Aaa to Aa1 but that is not considered for this valuation.

- As the Valuation is a future looking exercise, the Risk-Free Rate we have considered for the valuation of Index is the Latest one.

Years	Risk-Free Rate
15	2.55%
7	2.83%
5	3.38%
Latest (Dec 2025)	4.25%



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4. Valuation

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4.1 Original Case Valuation Results

Total Yield	Expected EPS Growth	Risk-Free Rate	Equity Risk Premium	Cost of Equity	S&P 500 Valuation	Current Price	Result
20 Years	10 Years	Latest	Latest	6.23%	11,301.8	6,901	Undervalued

Valuation of S&P 500			11,301.8
Particulars	*Key Inputs*	*Assumptions*	Undervalued
Date	19-Dec-25	19-Dec-25	**The Market implied fair value of S&P 500 is 11302. The S&P 500 is currently trading at 6901. A 63.77% appreciation expected from this level.**
Current S&P 500 Level	6,901.0	6,901.0	
Total Yield	20 Yrs	4.73%	
Expected Growth	10 Years	8.32%	
Risk- Free Rate	Latest	4.25%	
Equity Risk Premium	Latest	1.98%	
Cost of Equity		6.23%	
Teminal Growth		1.00%	

4. Valuation

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4.2 Maximum Time Frame Case Valuation Results

Total Yield	Expected EPS Growth	Risk-Free Rate	Equity Risk Premium	Cost of Equity	S&P 500 Valuation	Current Price	Result
20 Years	10 Years	50 Years	15 Years	9.86%	6,250	6,901	Overvalued

Valuation of S&P 500			6,250.0
Particulars	*Key Inputs*	*Assumptions*	Overvalued
Date	19-Dec-25	19-Dec-25	**The Market implied fair value of S&P 500 is 6250. The S&P 500 is currently trading at 6901. A 9.43% Correction expected from this level.**
Current S&P 500 Level	6,901.0	6,901.0	
Total Yield	20 Yrs	4.73%	
Expected Growth	10 Years	8.32%	
Risk- Free Rate	50 Yrs	5.81%	
Equity Risk Premium	15 Years	4.05%	
Cost of Equity		9.86%	
Teminal Growth		1.00%	

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5.1 Sources

- Investing.com- S&P Historical Data & 10Y Bond Yield Data
- Macrotrends- P/E Multiple Data
- Market Premia- Equity Risk Premium Data
- Damodaran- Dividend & Buyback Data

5.2 Disclaimer

- The Valuations carried out are based on plethora of assumptions which are built based on the understanding of the current scenario in US Capital markets.
- The report has been prepared solely for educational purpose and not emanating from the professional in practice.
- The author assumes no liability or responsibility for the losses caused by using this report as an investment advice.
- Although, every Endeavour has been made to bring this report as accurate as possible, users should not rely on this report for investment purposes.

5.3 End Note

I would like to thank the readers for their time dedicated towards reading the report. Feedbacks are always welcome. Please feel free to get in touch at suyashymandhana@gmail.com for any questions and/or feedback.

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6. Acknowledgements

Report Prepared by- Suyash Mandhana, Chartered Accountant

Guided by- Mr. Parth Verma, Founder- The Valuation School

I would like to extend my gratitude towards Mr. Parth Verma sir for guiding me to prepare the Index Valuation Report!